Anthropic IPO Valuation

A basic model: cash flows, growth and the discount rate

Revenue-multiple enterprise value	DCF enterprise value
$1.95 trillion	**$788 billion**
$195bn of 2028 revenue × 10.0x	Ten-year forecast; 12% WACC; 3% terminal growth

- Latest investor discussion is about $1.5tn; the earlier $2tn is a historical stress case.
- The assumed multiple gives a value 30.0% above that discussion; the DCF is 47.4% below it.
- Net cash is **assumed zero**; equity comparisons are illustrative.

Information cutoff: 23 Oct 2026. Assumed valuation date: 31 Dec 2026. All values in USD. [S2, S3]

Cash-flow period: 2027–2036, then a terminal value

Explicit forecast: ten annual periods

- Forecast **unlevered free cash flow** for 2027–2036.
- Allow revenue growth and EBIT margins to converge toward maturity.
- Start the perpetual-growth phase in **2037**.

A five-year forecast would end while assumed growth is still 20%, creating a sharp maturity transition.

DCF component	PV ($bn)
2027–2036 cash flows	337.2
Terminal value	451.4
Enterprise value	**788.5**

57.2% of DCF value comes from cash flows after 2036.

The model discounts at year-end: 2027 is $t = 1$ and 2036 is $t = 10$.

2026 is a revenue anchor, not a discounted cash-flow period: the assumed valuation date is 31 Dec 2026.

Annual growth: rapid expansion, followed by a gradual fade

Year	Revenue ($bn)	Growth
2026E	64.0	Anchor
2027E	128.0	100.0%
2028E	**195.0**	**52.3%**
2029E	263.3	35.0%
2030E	329.1	25.0%
2031E	394.9	20.0%
2032E	454.1	15.0%
2033E	499.5	10.0%
2034E	534.5	7.0%
2035E	561.2	5.0%
2036E	578.0	3.0%

How growth is calculated

$$R_t = R_{t-1}(1 + g_t)$$

$$g_{2028} = \frac{195}{128} - 1 = 52.3\%$$

2028 anchor: midpoint of the reported $190–200bn company projection. [S2]

Other years: analyst assumptions. The $64bn 2026 estimate is not reported annual revenue.

Run rate $\neq$ annual revenue. A recent revenue pace cannot be substituted for full-year recognized sales.

Cash flow: convert revenue into cash available to capital providers

Unlevered free cash flow (UFCF)

$$\mathrm{UFCF}_t = \mathrm{EBIT}_t(1 - T) + \mathrm{D\&A}_t - \mathrm{Capex}_t - \Delta\mathrm{NWC}_t$$

Driver	Assumption
EBIT margin	10% → 35%
Tax on positive EBIT	25%
D&A / revenue	3%
Cash capex / revenue	8%
Operating NWC / revenue	2%

Compute, training and distribution costs are included in the EBIT-margin assumption.

$bn	2027	2028	2036
Revenue	128.0	195.0	578.0
After-tax EBIT	9.6	29.3	151.7
D&A	3.8	5.9	17.3
Capex	(10.2)	(15.6)	(46.2)
ΔNWC	(1.3)	(1.3)	(0.3)
UFCF	**1.9**	**18.2**	**122.5**

Example: 2028 UFCF
$= 29.25 + 5.85 - 15.60 - 1.34 = 18.16.$

Rounded displayed figures. No tax-loss carryforwards or separate funding schedule. Long-term compute commitments are not deducted again as one-year capex.

Discount rate: 12% WACC, with a 10–14% sensitivity

Discounting and terminal value

$$\mathrm{EV} = \sum_{t=1}^{10} \frac{\mathrm{UFCF}_t}{(1+r)^t} + \frac{\mathrm{TV}_{2036}}{(1+r)^{10}}$$

$$\mathrm{TV}_{2036} = \frac{\mathrm{UFCF}_{2037}}{r-g}$$

$r = 12\%$**:** illustrative WACC for technology, execution and cash-flow risk. It is not an observed or CAPM-estimated company rate.

$g = 3\%$**:** mature perpetual revenue growth. Terminal EBIT margin and investment ratios stay at 2036 levels.

DCF enterprise value ($bn)

WACC / g	2%	3%	4%
10%	982.1	1,074.3	1,197.3
12%	739.8	**788.5**	849.4
14%	581.9	610.2	644.1

Lower discount rates increase the value of distant cash flows.

Even the 10% WACC / 4% growth combination remains below the $1.5tn discussion benchmark.

Sensitivity keeps the explicit operating forecast fixed. Terminal revenue, UFCF, investment and discounting recalculate for each rate pair. Require $r > g$.

What would a $1.5 trillion discussion value require?

Revenue-multiple interpretation

$$\mathrm{EV} = \$195\,\mathrm{bn} \times 10 = \$1{,}950\,\mathrm{bn}$$

$$\frac{\$1{,}500\,\mathrm{bn}}{\$195\,\mathrm{bn}} = 7.69\mathrm{x}$$

At the $195bn forecast, 8x gives $1.56tn and 12x gives $2.34tn.

The 10x base multiple is an assumption. It is not a current peer-derived median.

DCF interpretation

Holding the ten-year forecast, WACC and investment ratios fixed:

- Required 2037 UFCF: **$325.0bn**.
- Required perpetual EBIT margin: **79.5%**.

That margin is substantially above the assumed 35% terminal margin.

Supporting $1.5tn therefore requires a different growth path, earlier cash generation, lower WACC or other material assumption changes.

Equity benchmark is compared with EV using assumed zero net cash. Actual cash, debt, convertible claims and share counts require an IPO-document update.

Conclusion and sources

Answers to the three model questions

- **Cash-flow period:** 2027–2036; terminal value from 2037.
- **Annual growth:** 100%, 52.3%, then a fade to 3% by 2036.
- **Discount rate:** 12% WACC; examine 10–14%.

Assessment: $1.95tn is consistent with the selected revenue multiple. The $788bn DCF shows that cash economics need much stronger assumptions to support the reported discussion value.

Public sources

S1 Anthropic, 28 May 2026: $965bn post-money Series H valuation.

S2 Reuters, Aug 2026: reported $190–200bn 2028 revenue projection.

S3 Reuters, 29 Sep 2026: approximately $2tn target and cloud-partner dependence.

S5 Anthropic, 1 Jun 2026: confidential draft S-1 submission.

Limits: projections may change. Current net cash and offering terms are unavailable. Future funding and dilution are not modeled.

Calculation snapshot from the accompanying editable Excel model. Recalculate and refresh the slides after changing assumptions.

Information reviewed through 23 October (Beijing time)

- Quarterly reports are now included; the unchanged $64bn annual assumption requires $30.9bn Q4 revenue, or 83.9% sequential growth.
- Latest investor discussion is $1.5tn. The prior $2tn remains a historical stress case; neither is completed pricing.
- The companion workbook's cutoff, benchmark and quarterly reconciliation have been updated; operating assumptions remain explicit.
- The independent-evaluator announcement adds governance context without a quantified forecast increment.

Reuters IPO discussion, 16 Oct Beijing; Anthropic independent evaluators, 15 Oct.

Anthropic: developments through 23 October

- 18 Oct: conditional public-benefit share commitment. Approval and final mechanics remain open.
- 21–22 Oct: Duet research preview, Google Cloud distribution and Agent Skills donation.
- 22 Oct Reuters: provisional November IPO; about US$1.5tn remains an investor discussion.
- No quantified cash-flow uplift: DCF EV stays US$788.5bn; FY2026 US$64bn remains an assumption.
- 26 Oct public S-1: subsequent event, excluded from this cutoff and valuation inputs.

Sources: Anthropic 18–22 Oct announcements; Reuters 22 Oct. Details and timing limits: DISCLOSURE_UPDATE_2026-10-23.md.